

you're going to exceed mileage restrictions that come with most leased vehicles. But most people aren't going to do that. And they like to drive a new or newer car every few years.

When you buy, also keep in mind the rapid depreciation most new cars undergo during their first few years, sometimes as high as 20 percent the minute you drive a new car off the lot. If you can't afford a healthy down payment that'll cover some of that early depreciation, you can find yourself in that awful place commonly called an "upside-down" loan, or negative equity situation. That's where you're making car payments on a vehicle that is no longer worth anywhere near its original price. Your balance is \$10,000, but if you were to sell the car, you'd be lucky to get \$8,000. That's why renters did better than homeowners during the mortgage crisis, when housing values plummeted, yet people were stuck with mortgages they'd negotiated to finance the bloated price of the home. Renters could walk away if a landlord hiked up the rent, but for homeowners it often meant borrowing more money, declaring bankruptcy, or defaulting on their mortgage.

Leasing a car means there is certainty; with financing, there are many variables—too many, especially when it comes to care and maintenance costs. You absorb 100 percent of those costs as the owner.

Money Mistake: You Have a Thing for Bling

THE FIX: DON'T GET DAZZLED, GET EDUCATED

Since the beginning of time, people have been suckers for shiny things, and not just shiny cars. I'm talking about smaller, more sparkly money pits: jewelry, or "bling." Earrings, bracelets, watches, rings, and necklaces have become a part of almost every important ceremony and rite of passage known to humankind. You know who knows that investing in jewelry is a phenomenal waste of money? Rich people. They're often the least ostentatious people I know (not counting the late Elizabeth Taylor or the queen).